

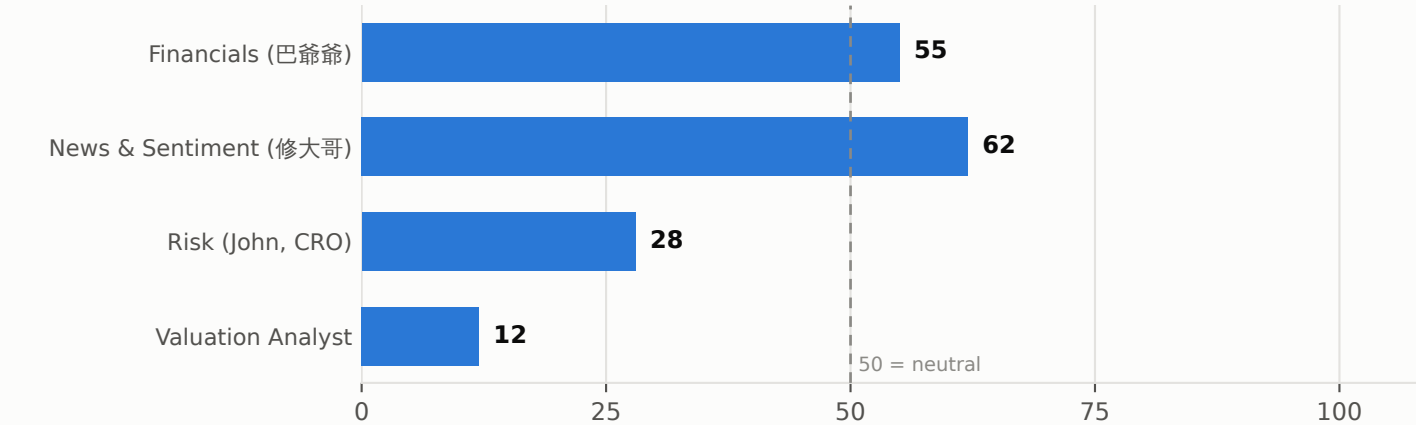
CEO VERDICT: VETOED ON PRICE — BUT THE BUSINESS IS IMPROVING

|                     |                |                   |                     |
|---------------------|----------------|-------------------|---------------------|
| Price (27 Jul 2026) | Fall from high | Firm's fair value | Price vs fair value |
| \$91.68             | −36%           | \$22-55           | +178% over          |

WHAT THE AI DEPARTMENTS CONCLUDED, IN ONE SENTENCE  
The first name of the five where the business is genuinely getting better — and the stock is up 343% in a year, above even our own bull case.

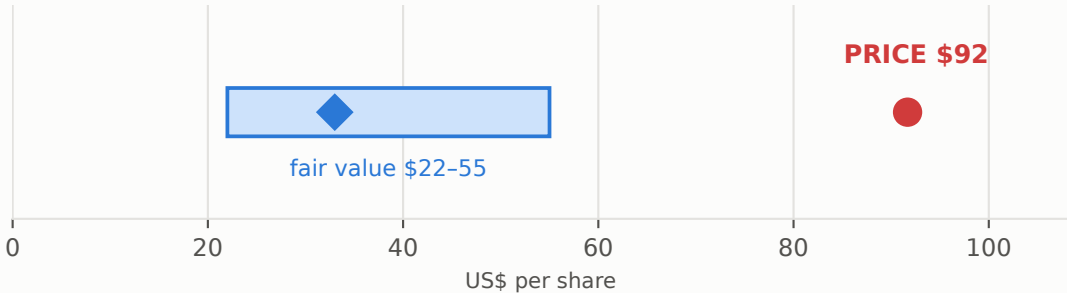
DEPARTMENT SCORECARD

Each AI department scored the idea out of 100. Lower = worse for buying at today's price.



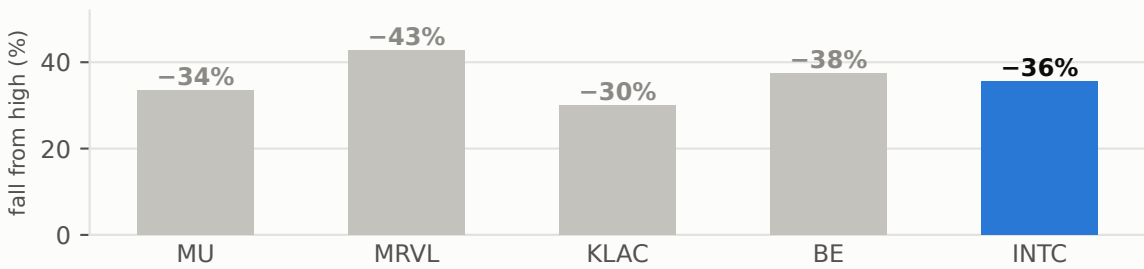
THE PRICE GAP

Blue band = what the firm thinks it is worth. Red dot = what it costs today.



HOW FAR IT HAS FALLEN

INTC highlighted in blue; the other names in the batch shown for context.



## THE CASE FOR — what the agents found genuinely good

- Q2 2026 was the best quarter in ~15 years: revenue \$16.1B (+25%), non-GAAP earnings double what analysts expected, and the data-centre margin more than doubled to 39.5%.
- 18A — the make-or-break manufacturing process — is real and shipping, running ~25% ABOVE its output target. After a decade of missed roadmaps this is the first hard evidence of recovery.
- External foundry revenue hit \$293M in ONE quarter versus \$307M for ALL of last year — the first sign the factories can sell to outsiders.
- Survival is no longer the question: ~\$16B of capital from the US government (~10% stake), NVIDIA (\$5B) and SoftBank (\$2B). Cash from operations exceeded capital spending in the first half.
- Second-best financial score of the five names analysed, and the only one where the trend is clearly improving rather than peaking.

## THE CASE AGAINST — why the firm is not buying

- The stock is up 343% in 52 weeks (\$18.97 to \$91.68) and trades at ~55x earnings and ~7.2x sales — on revenue that is still 33% BELOW its 2021 peak.
- Our own valuation is \$22-55 a share. The price is 9% ABOVE even our deliberately generous bull case of \$84.
- Management's OWN plan for 2030, if delivered in full and on time, is worth only \$39-46 a share today.
- Still ZERO committed external customers for the next-generation 14A process. Decisions are due within two quarters — a genuine coin-flip.
- Market share keeps falling: x86 down from 72.9% to 67.4% in a year, and Arm chips now take ~50% of big-cloud computing, up from 18% two years ago.
- Shareholders were diluted ~30% to fund the rescue — a permanent ~24% haircut to peak per-share earning power.
- The government warrants (241M shares at \$20) can only be exercised if Intel sells most of the foundry — which blocks the obvious way to unlock value.

## WHAT WOULD CHANGE THE ANSWER — the tripwires to watch

- PRICE GATE: no consideration at or above \$45 a share (the CRO's binding condition).
- Two committed 14A customers by mid-2027 — this is the single biggest swing factor.
- Data-centre margins holding above 35% AFTER the CPU shortage ends (the test comes in 2027-28).
- Any new share issue — capital spending is above \$20B in 2026 and higher in 2027.

### RISK OFFICER'S RULING (John, CRO — holds veto power)

**VETOED — no initiation at or above the \$45 price gate**

### QUALITY CONTROL — what the AI Auditor caught (AI 管理層)

No report failed. The auditor resolved the price confusion (\$91.68 is correct) and confirmed the CEO's framing correction — Intel is NOT a cheap turnaround. It caught two real errors (an overstated cash-flow figure and an uncited '105x earnings' that should be ~55x) but found the bear conclusion survives them: a fully de-biased rebuild still lands at \$37-38. Its most important finding was about the FIRM, not Intel: the old scorecard put ~60% of its weight on price, so the best-improving business of the five scored lowest. That scorecard has now been rebuilt with separate Business Quality and Price axes.

*Research and decision support only — NOT financial advice. Markets cannot be reliably predicted. No agent may place a trade. Nothing happens unless the Owner places it personally.*